

Employing in Puerto Rico

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under Puerto Rico's civil-law employment framework (Act 4-2017)
- **Monthly payroll** — salary payments in USD, itemised payslips
- **Tax withholding** — Puerto Rico income tax withholding plus federal FICA (Social Security and Medicare)
- **Christmas Bonus & statutory leave** — Act 148 bonus calculation, vacation and sick leave accrual
- **Leave and termination management** — Act 80 severance guidance, since Puerto Rico does not recognise at-will employment

Employment Conditions

Contracts & Probation

Puerto Rico is a distinctive U.S. jurisdiction: it operates under a civil-law tradition layered with federal labor statutes (FLSA, FMLA) and its own protective local laws. Unlike the U.S. mainland, Puerto Rico does not recognise at-will employment — an indefinite-term employee dismissed without "just cause" is entitled to statutory severance under Act 80.

Item	Detail	Legal Basis
Governing framework	Civil-law tradition + federal statutes (FLSA, FMLA) + local laws (Act 4-2017 reform)	Act No. 4 of 2017 (Labor Transformation and Flexibility Act)
At-will employment	Not recognised — just cause required for dismissal without severance liability	Act 80 of 1976 (Unjust Dismissal Act)
Probation period	Commonly 90 days to 12 months, allowed under Act 4-2017 reforms	Act 4-2017

Working Hours & Overtime

The standard workweek is 40 hours under federal FLSA rules, with local rules (Act 379) governing the definition of the workweek and notice of shift changes.

Rule	Detail	Authority
Standard hours	40 hours/week; workweek defined as a fixed 168-hour period set by the employer	Act No. 379 / FLSA
Overtime premium	150% of regular rate beyond 40 hrs/week (FLSA-covered); 200% for non-FLSA-covered employees	Act No. 379 / FLSA
Good Friday / Easter work premium	150% of regular daily salary	Local statute

Minimum Wage (2026)

Measure	Rate	Notes
General minimum wage	USD 10.50/hour	Unchanged since 1 July 2024; the highest of any U.S. territory
Full-time monthly equivalent	~USD 1,820/month	Based on a standard 40-hour week

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Vacation Leave	Accrues at up to 1.25 days/month (varies by tenure)	Employer	Standard local accrual rules, separate from federal law
Sick Leave	1 day/month accrued (up to 12 days/year)	Employer	Supplements unpaid federal FMLA leave where applicable
Maternity Leave	8 weeks, fully paid	Employer	Available from the first day of employment
Christmas Bonus (Aguinaldo)	6% of wages (capped at USD 600) for employers with 16+ employees; 3% (capped at USD 300) for smaller employers	Employer	Requires 700+ hours worked between 1 Oct (prior year) and 30 Sept (current year); paid 15 Nov–15 Dec

★ HERO TIP

The mandatory Christmas Bonus (Aguinaldo) under Act 148 catches many mainland-based employers off guard — it's separate from any performance bonus, must be paid between 15 November and 15 December, and penalties apply for late payment. Confirm hours worked in the qualifying 12-month window (1 October to 30 September) rather than the calendar year.

Payroll, Tax & Contributions

Employer Costs (2026)

Contribution	Employer Rate	Notes
FICA (Social Security + Medicare)	7.65% of wages	6.2% Social Security (capped at the federal wage base) + 1.45% Medicare (uncapped); matches employee share
FUTA (Federal Unemployment)	0.6% (net, after state credit) on first USD 7,000	Federal unemployment tax, same as U.S. mainland
Puerto Rico State Insurance Fund	Varies by industry classification	Mandatory, administered by the State Insurance Fund Corporation

(workers' comp)

Christmas Bonus accrual	3–6% of wages (capped at USD 300–600)	Depends on employer size (16+ employees threshold)
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Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
FICA employer contribution (7.65%)	\$229.50	7.65%
Christmas Bonus accrual (illustrative, capped)	\$50.00	1.67%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,879.50	~129.3%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Christmas Bonus is capped at USD \$600/year (large employer) regardless of salary, so its monthly-equivalent share shrinks rapidly as a % of gross for higher salaries. State Insurance Fund premiums vary by role/industry and are excluded. Employee deductions (withheld separately) include FICA and Puerto Rico income tax withholding.

Income Tax (Puerto Rico, 2026)

Puerto Rico has its own progressive income tax system (distinct from U.S. federal income tax, which generally does not apply to Puerto Rico-sourced income for bona fide residents), plus an Alternate Basic Tax that can affect higher earners.

Feature	Detail
Top marginal rate	33%, applying at higher income levels under the Puerto Rico Internal Revenue Code
Alternate Basic Tax (ABT)	Separate surtax that can apply to higher earners in place of the regular calculation
Federal income tax	Generally does not apply to PR-sourced wages for bona fide PR residents, though FICA still applies

Termination & Separation

Just Cause & Severance (Act 80)

Puerto Rico does not require a fixed notice period for resignation or dismissal, but a dismissal without "just cause" triggers mandatory severance under Act 80. For employees hired on or after 26 January 2017, the formula is straightforward and capped.

Hire Date	Act 80 Severance Formula	Cap
Hired on/after 26 January 2017	3 months' salary (12 weeks) + 2 weeks' salary per full year of service	9 months' salary
Hired before 26 January 2017	Tiered formula: 2/3/6 months' base + 1/2/3 weeks per year of service (by tenure band)	No cap — based on years of service and highest salary in preceding 3 years

★ HERO TIP

Because Puerto Rico is not an at-will jurisdiction, "just cause" documentation matters enormously — poor performance, misconduct or a genuine restructuring must be clearly evidenced, or Act 80 severance becomes payable regardless of the employer's stated reason. Always route Puerto Rico terminations through your HeroForce EOR, and never assume mainland U.S. at-will practices apply here.

Public Holidays 2026

Puerto Rico observes both U.S. federal holidays and several Puerto Rico-specific commemorative dates.

Date	Holiday	Type
1 January	New Year's Day	Federal/Local
6 January	Three Kings' Day (Día de Reyes)	Local
19 January	Martin Luther King Jr. Day	Federal
16 February	Presidents' Day	Federal
3 April	Good Friday	Local
25 May	Memorial Day	Federal
4 July	Independence Day (observed 3 July)	Federal
25 July	Constitution Day (Puerto Rico)	Local
7 September	Labor Day	Federal
12 October	Columbus Day	Federal
11 November	Veterans Day	Federal
19 November	Discovery of Puerto Rico Day	Local
25 December	Christmas Day	Federal/Local

Ready to hire in Puerto Rico?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Puerto Rico employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).